

The Sun is Rising in India's Solar Industry

With recent approval of the ambitious National Solar Mission, and key players diversifying into the solar domain, the Indian solar industry is expected to grow fast



■ **SRABANI SEN WITH INPUTS FROM SANDHYA MALHOTRA AND JESUS MILTON ROUSSEAU S.**

The solar industry in sun-rich India might not be glowing currently, but it's a lot brighter now with the cabinet's nod to the Jawaharlal Nehru National Solar Mission that aims to generate 20,000 MW of power a year by 2022. This ambitious plan aims to expand solar power generation from the current level of less than 5 MW per year to 1000 MW a year by 2013. To reach this goal, the cabinet has sanctioned Rs 43,370 million for the initial activities in this regard. "The plan, no doubt, is ambitious but all depends on the execution. Although the subsidy schemes of the government have turned into a gimmick, the industry is anxiously waiting to see it execute this programme," says an industry insider.

Many strongly believe the Indian

government expects rich nations to foot the bill. They will be urged to support and transfer low-cost solar technologies needed to realise this ambitious vision. Only time will tell if it'll work.

With most of the key players diversifying into this domain or considering entry, it seems that the Indian solar industry will now grow faster. But worldwide demand for solar energy equipment dropped by 17 per cent in 2009. "This can lead to oversupply and a huge gap can be created between supply and demand, putting many manufacturers in a difficult situation," says Ajay Cahandel, CEO, Urja Ghar.

So, where do we stand and where are we heading to? Is India set to emerge as a global solar hub and a big market for solar cells and modules?

Immense potential

"India is one of the best places to develop solar power because we get more than 300 days of sunshine, and places like Gujarat, where arid lands are

aplenty, can be utilised for generation of solar power," says N. Jagatheeswar, owner, Powertec Control Instruments.

According to a study—Indian Solar Energy Market Outlook 2012—by RNCOS, solar energy offers enormous potential in India as 45 per cent of rural households do not have access to electricity. The country is also becoming a favourite investment destination for both local as well as global players.

Demand for solar products has been rising rapidly over the recent years, especially in rural areas, and is expected to continue growing substantially. The total number of solar lanterns in India is projected to grow at a CAGR of about 40 per cent between 2009 and 2012.

Silicon manufacturer Dow Corning sees Indian solar energy market glowing. "India offers an exciting potential because of the huge energy demand for its large population. We have clear intentions to invest and grow with the Indian solar market," says its spokesperson.

Applied Solar also sees a major opportunity unfolding in the country's rural electrification. "Its potential is so huge that all the diesel gensets could be replaced with solar power units," says Dr Charles F. Gay, president, Applied Solar. "This is the only sector where one invests once and reaps the benefits for decades," he adds.

"The new national solar power policy is likely to play a vital role in expanding the solar power generation base in India. Most of the global players and investors are looking at the India opportunity and the subsidies the government will offer to attract investments," says Gay.